

Member ID: _____

Time: _____

Rank: _____



BUSINESS LAW & ETHICS

(265)

STATE 2022

OBJECTIVE:

True/False (20 @ 2 points each) _____ (40 points)

Multiple Choice (30 @ 2 points each) _____ (60 points)

TOTAL POINTS _____ (100 points)

Test Time: 60 minutes

OBJECTIVE

Directions: Select the letter of the answer that *best* answers the question or completes/describes the statement.

1. From an employer's perspective, a company employee is the same as an independent contractor.

A. True
B. False
2. When more than one court system has the power to preside over a case, this is known as concurrent jurisdiction.

A. True
B. False
3. The purpose of compensatory damages, when awarded in a civil trial, is to punish the defendant and to deter future wrongdoers.

A. True
B. False
4. Under the Restatement of Torts, a product manufacturer must be negligent in order to be liable for a defective product.

A. True
B. False
5. A court will sometimes reduce the penalties and fines imposed on a company if the company had proactively tried to prevent misconduct from occurring.

A. True
B. False
6. Title VII specifically addresses the issues of affirmative action, sexual harassment, and same-sex marriage.

A. True
B. False
7. A sole proprietorship is always the best way for a single business owner to form a business enterprise.

A. True
B. False

8. When a corporation is sued for any reason, the personal assets of the CEO can be seized as part of a judgement against the company.

A. True
B. False
9. Guile is the character trait associated with being crafty or understanding right/wrong behavior but using tricks to gain an unfair advantage.

A. True
B. False
10. Since ethical standards are essentially the same all over the world, there are no major issues with ethical predicaments in global markets.

A. True
B. False
11. When a company employee commits a tort while serving as a representative of that company, the company is legally responsible.

A. True
B. False
12. Depression, sleep disturbance, increased sick days, and stomach problems are all possible side effects of workplace bullying.

A. True
B. False
13. A company should not take time to create a code of ethics until there is a conflict of interest within the company.

A. True
B. False
14. The U.S. Sentencing Commission mandated companies must develop a code of conduct that states the required standards and identifies key risk areas for the organization.

A. True
B. False
15. The primary objective of U.S. antitrust laws is to protect employees.

A. True
B. False

16. Civil law defines the rights and duties of individuals and organizations including businesses.
- A. True
 - B. False
17. The Environmental Protection Agency regulates tobacco, dietary supplements, vaccines, veterinary drugs, medical devices, cosmetics, products that give off radiation, and biological products.
- A. True
 - B. False
18. High levels of competition create a higher probability that firms cut corners because profit margins are usually low.
- A. True
 - B. False
19. Shredding paperwork is the first sign that an unethical decision has occurred.
- A. True
 - B. False
20. Living wage is a synonym for minimum wage.
- A. True
 - B. False
21. Of the choices below, which one would provide evidence that a worker should be considered an employee rather than an independent contractor?
- A. The worker has specialized expertise
 - B. The worker's contract with the company states that she is an independent contractor
 - C. The worker's hours are directly controlled by the company for which she is working
 - D. The worker performs her services for multiple companies
22. Under the legal doctrine of "employment-at-will," an employee can be lawfully terminated from his or her job for _____.
- A. the employer's need to cut costs
 - B. discussing religion at work
 - C. complaining about illegal activity in the workplace
 - D. a good cause

23. Which of the choices listed below marked the beginning of addressing the need to prevent or minimize workplace accidents and health hazards in the United States?
- A. Securities Act
 - B. Occupational Safety and Health Act
 - C. Environmental Protection Agency
 - D. National Insurance Act
24. The power of the U.S. Government to take property from a private individual and use it for public purposes is called _____.
- A. Due Process
 - B. Equal Protection
 - C. Eminent Domain
 - D. Suffrage
25. The term *caveat emptor* means _____.
- A. seller take care
 - B. empty the cave of deceit
 - C. buyer beware
 - D. truth shall prevail
26. The governmental organization that works with companies on recalls of unsafe products such as hazardous toys is the _____.
- A. Consumer Product Safety Commission (CPSC)
 - B. Consumer Protection Group (CPG)
 - C. Product Protection People (P3)
 - D. Buy American Coalition (BAC)
27. Investors should pay close attention to the ethical conduct of a business since misconduct can _____.
- A. harm the ability to monitor changes in consumer preferences
 - B. increase manufacturing costs
 - C. cause delays in government intervention
 - D. lower stock value and prices
28. A published book with a collection of non-fiction essays contains copyrighted work from multiple authors. This situation involves a set of rights known as _____.
- A. collective work
 - B. public domain
 - C. joint domain
 - D. collective bargaining

29. Once the copyright on a work has expired, the _____.
A. owner can renew it for a new term
B. work is in the public domain
C. work becomes the property of the government
D. work is considered no longer creative
30. A community places a set of expectations on a business. These expectations are called the business's _____.
A. social responsibility
B. ethics
C. values
D. standards of conduct
31. All of the following are examples of tort violations, except _____.
A. breach of contract
B. malpractice
C. defamation
D. assault
32. The six elements of a contract include all of the following except _____.
A. offer
B. acceptance
C. illegality
D. capacity
33. Which of the following statements is incorrect regarding the relationship between the employer and employee?
A. The employee is subject to the control of the employer.
B. Independent contractors fall under the employer-employee relationship.
C. The employer must always provide a guideline for how the employee is allowed to behave in public.
D. Employees are contractually bound to stay with an employer for a minimum of one year.
34. The _____ is a federal law that regulates payment of wages and overtime to employees.
A. Fair Labor Standards Act
B. Fair Pay Act
C. Regulatory Wage Act
D. Legal Pay Act

35. Scenario: Elle creates a post on social media accusing her bookstore employer of flirting with her because of what she was wearing and then firing her when she refused to play along. Elle knows this didn't happen, but she is upset with her boss for scheduling her for too many weekends in a row. Since the post has had a negative effect on the bookstore, the employer is considering legal action. Elle could be accused of _____.
- A. false accusation
 - B. harassment
 - C. libel
 - D. slander
36. _____ are statements made by the plaintiff and the defendant that detail the facts, charges, and defenses of a case.
- A. Statement of torts
 - B. Complaints
 - C. Disputes
 - D. Pleadings
37. Corporate _____ is the term used to describe the methods of accountability, oversight, and control that a business implements.
- A. profit
 - B. loyalty
 - C. governance
 - D. diligence
38. A situation in which a consumer stages an accident for the purpose of suing a company for damages is called _____.
- A. whacking
 - B. duplicity
 - C. collusion
 - D. defamation
39. Of the choices below, which statement most closely describes a conflict of interest in which an employee must choose what to do?
- A. Advance his or her own personal interests, those of the organization, or those of some other group
 - B. Advance the interests of the organization or those of society
 - C. Communicate in ways that deceive, manipulate, or conceal facts in order to harm others
 - D. Report an unethical coworker to outside authorities

40. What is the term that best describes a situation in which a person offers something of value with the hope of gaining some type of advantage?
- A. Collusion
 - B. Hacking
 - C. Conflict of interest
 - D. Bribery
41. A conflict between an individual's morals and _____ is a common cause of ethical issues in business.
- A. the type of organization in which they work
 - B. values and attitudes of the society in which they live
 - C. the core values and culture of the organizations where they work
 - D. values and attitudes of their parents and religion
42. The _____ is a self-regulatory organization that reviews advertising cases and provides directions for managing customer disputes.
- A. Consumer Financial Protection Bureau
 - B. Federal Trade Commission
 - C. Securities and Exchange Commission
 - D. Better Business Bureau
43. Donations of computer equipment to schools by a computer manufacturer would be associated with _____ responsibilities.
- A. economic
 - B. voluntary
 - C. legal
 - D. ethical
44. It is not uncommon to see large chain retailer's move into areas that have long been supported by several small business. What problem does this cause for the small businesses that would make them resist the chain retail store?
- A. The large size creates economies of scale and they can charge lower prices.
 - B. The selection in the stores is too large.
 - C. Larger retailers attract crime to neighborhoods in which they are based.
 - D. Large retailers almost never hire local workers as employees.

45. Business strategies that try to weaken a competitor or force it to close its doors have created a need for antitrust legislation. Of the choices below, _____ is the only one not considered in antitrust legislation.
- A. free samples
 - B. discriminatory pricing
 - C. price collusion
 - D. sustained price cutting
46. Which type of law bans a business from carrying out fraud, theft, or securities trading violations and also enforces fines and/or prison time as a consequence for violating the law?
- A. Civil
 - B. Criminal
 - C. Regulatory
 - D. Administrative
47. Which of the following groups is not a group that receives special legal protections?
- A. Children
 - B. Senior citizens
 - C. The highly educated
 - D. Young consumers
48. Which is not considered a white-collar crime?
- A. Corporate tax evasion
 - B. Identity theft
 - C. Insider trading
 - D. Mugging a pedestrian
49. A company can offer specialized training to its employees that promotes company values and helps employees recognize common ethical scenarios. This training will create an environment of _____ in the workplace.
- A. ethical awareness
 - B. moral intensity
 - C. individual values
 - D. personal principles

50. All of the following are true with regards to organizational factors except _____.
- A. employees approach ethical issues on the basis of what they learned from others in the organization.
 - B. an alignment between a person's own values and the values of the organization help create positive organizational outcomes.
 - C. congruence in personal and organizational values is related to commitment, satisfaction, motivation, ethics, work stress, and anxiety.
 - D. ethical choices in organizations are most often made individually.